

Conspicuous consumption



Suppose that Jane buys a new coat. Standard economics assumes that Jane has a stable set of desires for goods and services – when properly satisfied these contribute to his well-being. He bought that particular coat because winter was drawing in and he liked the design. Jane's desire is self-contained: it is not connected to the judgements of others.

But if Jane had chosen an Armani coat in order to display his wealth to others, he would be engaging in what American economist Thorstein Veblen called conspicuous consumption. Now his desire for the coat is connected to other people's perception of it, namely that it tells them about Jane's own 'high status'. A status good has to be something that Jane can own, but others can't – as countries get richer and more people can afford Armani coats, Jane might have to start buying yachts in order to continue to communicate his status. Veblen argued that because of this, conspicuous consumption is wasteful.